

early 1980s, the majors rushed headlong to acquire companies engaged in unfamiliar undertakings. Exxon bought Reliance Electric. Mobil bought Montgomery Ward. Atlantic Richfield and Standard of Ohio bought into the minerals business at the top of the cycle. Gulf invested in uranium, and Getty became a broadcaster. The list goes on.

Many of these acquisitions have caused huge write-downs in recent months, and some have been sold at substantial losses. The assets the majors are writing down and selling off today are the legacy of their long-term strategies of five years ago.

Judging from the experience of the oil industry, it is questionable how much more long-term planning America's shareholders can stand. What many managements seem to be demanding is more time to keep making the same mistakes.

IN DEFENSE OF OWNERS—ALL OF THEM

If the confidence of America's investing public is to be maintained in the years ahead, the short-term theory must be exposed for what it really is: a weak argument advanced by weak managements. Companies are not punished for taking the long view; they are applauded. Investors are not impressed by efforts to embellish the near term; they question the impact on future returns.

Perhaps proponents of the short-term theory have lost sight of the commitment they or their predecessors made when their companies went public. Corporations issue stock to the public to acquire capital for financing future growth. The market provides those funds with the expectation that management will strive to achieve competitive returns. Management's failure to do so invites undervaluation and, ultimately, acquisition offers.

In many cases, the professional managers of mature or declining corporations seem to feel little affinity for share-